

percentage of all preferred stocks. Hence, we are by no means asserting the investment equivalence of bonds and preferred stocks *in general*. On the contrary, we shall in a later chapter be at some pains to show that the *average* preferred issue deserves a lower rank than the average bond, and furthermore that preferred stocks have been much too readily accepted by the investing public. The majority of these issues have not been sufficiently well protected to assure continuance of dividends *beyond any reasonable doubt*. They belong properly, therefore, in the class of variable or speculative senior issues (Group II), and in this field the contractual differences between bonds and preferred shares are likely to assume great importance. A sharp distinction must, therefore, be made between the typical and the exceptional preferred stock. It is only the latter which deserves to rank as a fixed-value investment and to be viewed in the same light as a good bond. To avoid awkwardness of expression in this discussion we shall frequently use the terms “investment bonds” or merely “bonds” to represent all securities belonging to the fixed-value class.

Is Bond Investment Logical? In the 1934 edition of this work we considered with some seriousness the question whether or not the extreme financial and industrial fluctuations of the preceding years had not impaired the fundamental logic of bond investment. Was it worth while for the investor to limit his income return and to forego all prospect of speculative gain, if despite these sacrifices he must still subject himself to serious risk of loss? We suggested in reply that the phenomena of 1927–1933 were so completely abnormal as to afford no fair basis for investment theory and practice. Subsequent experience seems to have borne us out, but there are still enough uncertainties facing the bond buyer to banish, perhaps for a long time, his old sense of complete security. The combination of a record high level for bonds (in 1940) with a history of two catastrophic price collapses in the preceding twenty years and a major war in progress is not one to justify airy confidence in the future.

Bond Form Inherently Unattractive: Quantitative Assurance of Safety Essentials. This situation clearly calls for a more critical and exacting attitude towards bond selection than was formerly considered necessary by investors, issuing houses, or authors of textbooks on investment. Allusion